Solution

$$\text{Return on Investment} = \frac{\text{Net profit before interest and tax}}{\text{Capital employed}} \times 100$$

$$= \frac{25,000}{1,25,000} = \times 100 = 20\%$$

Capital employed = Share capital + Reserves and surplus + Long term borrowings
= 70,000 + 25,000 +30,000 = ₹ 1,25,000



Student activity 9.3

Whole class activity: Discuss the possible causes and consequences for the following situations:

- A departmental store's net profit margin has decreased compared to last year's margin.
- A trader has been allowed 30 days to pay to his suppliers, but he takes 45 days.
- Debt collection period has been increasing.

9.7. Advantages of ratio analysis

Following are the advantages of ratio analysis:

(i) Measuring operational efficiency: Ratio analysis helps to know operational efficiency of a business by finding the relationship between operating cost and revenues and also by comparison of present ratios with those of the past ratios.

(ii) Measuring financial solvency: Ratio analysis helps to ascertain the liquidity or short term solvency and long term solvency of a business concern.

(iii) Facilitating investment decisions: Ratio analysis helps the management in making effective decisions regarding profitable avenues of investment.

(iv) Analysing the profitability: Ratio analysis helps to analyse the profitability of a business in terms of sales and investments.

(v) Intra firm comparison: Comparison of efficiency of different divisions of an organisation is possible by comparing the relevant ratios.

(vi) Inter firm comparison: Ratio analysis helps the firm to compare its performance with other firms.

9.8. Limitations of ratio analysis

Following are the limitations of ratio analysis:

(i) Ratios are only means: Ratios are not end in themselves but they are only means to achieve a particular purpose. Analysis of related items must be done by the management or experts with the help of ratios.

12th-Accountancy-Unit-09.indd 317 1/4/2020 11:57:00 AM